

**BEFORE THE DISTRICT CONSUMER DISPUTES REDRESSAL COMMISSION,
PUNE
CC/441/2025**

Sunita Deshpande

... COMPLAINANT

VERSUS

Sanchay Life Insurance Company Limited

... OPPOSITE PARTY

**COMPLAINT UNDER SECTION 35 OF THE CONSUMER PROTECTION ACT,
2019**

A. JURISDICTION

1. This Hon'ble District Consumer Disputes Redressal Commission, Pune has territorial jurisdiction to entertain this complaint as the Opposite Party carries on the business of insurance and the cause of action substantially arose within the district of Pune, being the place where the Life Assured resided, where the claim was intimated and processed, and where the Complainant resides; and has pecuniary jurisdiction as the aggregate value of the claim and compensation sought, being Rs. 14,00,000, falls within the limits prescribed under Section 34 of the Consumer Protection Act, 2019.

B. FACTS OF THE CASE

2. The Complainant is the widow and nominee of Mr. Mahesh Deshpande ("the Life Assured"), who had taken Policy No. SLIC-4471-208833 ("the Policy") from the Opposite Party.
3. The Life Assured had submitted a Proposal Form dated 12.04.2022 for the Sanchay Suraksha Endowment and Money Back Plan, pursuant to which the Opposite Party issued the Policy on 28.04.2022 for a sum assured of Rs. 12,00,000 against an annual premium of Rs. 48,500 (Annexures A-1 and A-2).
4. The Life Assured regularly paid all three annual premiums due under the Policy, the last being paid on 28.04.2024 (Annexure A-3), and the Policy was in full force and effect at all material times.
5. The Life Assured passed away on 14.02.2025 due to Cardiac arrest at Sassoon General Hospital, Pune.
6. The Complainant, being the nominee, submitted a claim intimation on 22.02.2025 along with the death certificate and requisite documents (Annexure A-4).
7. The Opposite Party appointed an investigator, who visited the Complainant and the treating hospital, and thereafter, vide letter dated 10.06.2025 (Annexure A-5), repudiated the claim on the ground of "Alleged non-disclosure of a pre-existing hypertension diagnosis at the time of proposal".

Reference note: Repudiation cross reference CLM-08841-PUNE

8. The alleged non-disclosure is baseless: the relevant field in the Proposal Form relating to hypertension was left blank for want of any such diagnosis at the time of the proposal, and the document relied upon by the Investigator is itself internally inconsistent as to the date of the alleged diagnosis.

9. The repudiation of a genuine claim, four years after the Policy was issued and after receipt of three years' premiums without demur, constitutes a clear deficiency in service and unfair trade practice within the meaning of the Consumer Protection Act, 2019.

C. CAUSE OF ACTION, LIMITATION AND VALUATION

10. This complaint is valued at Rs. 14,00,000 for the purposes of court fee and jurisdiction, and is filed under Section 35 of the Consumer Protection Act, 2019 within the period of limitation prescribed under Section 69 thereof, the cause of action having arisen on 10.06.2025, being the date of repudiation, and continuing thereafter until the filing of this complaint.

D. DETAILED PARTICULARS OF DEALINGS BETWEEN THE PARTIES

11. On 12.04.2022, proposal form submitted for the Sanchay Suraksha Endowment and Money Back Plan (Annexure A-1), as more fully appears from the Complainant's records and the documents filed herewith.
12. On 28.04.2022, policy No. SLIC-4471-208833 issued, sum assured Rs. 12,00,000 (Annexure A-2), as more fully appears from the Complainant's records and the documents filed herewith.
13. On 28.04.2022, first annual premium of Rs. 48,500 paid (Annexure A-3), as more fully appears from the Complainant's records and the documents filed herewith.
14. On 28.04.2023, second annual premium paid (Annexure A-3), as more fully appears from the Complainant's records and the documents filed herewith.
15. On 28.04.2024, third annual premium paid (Annexure A-3), as more fully appears from the Complainant's records and the documents filed herewith.
16. On 14.02.2025, life Assured Mahesh Deshpande passes away due to cardiac arrest (Annexure A-7), as more fully appears from the Complainant's records and the documents filed herewith.
17. On 22.02.2025, claim intimation submitted by the Complainant (Annexure A-4), as more fully appears from the Complainant's records and the documents filed herewith.
18. On 10.03.2025, investigator appointed by the insurer visits the family and treating hospital (Annexure A-6), as more fully appears from the Complainant's records and the documents filed herewith.
19. On 18.04.2025, investigator submits report alleging a pre-existing hypertension diagnosis (Annexure A-6), as more fully appears from the Complainant's records and the documents filed herewith.
20. On 10.06.2025, claim repudiated on ground of alleged non-disclosure (Annexure A-5), as more fully appears from the Complainant's records and the documents filed herewith.
21. On 02.07.2025, complainant's representation against repudiation rejected (Annexure A-5), as more fully appears from the Complainant's records and the documents filed herewith.

PRAYER

- a. Direct the Opposite Party to pay the sum assured of Rs. 12,00,000 with interest at 9% per annum from the date of repudiation;
- b. Award compensation of Rs. 1,50,000 for mental agony and harassment;
- c. Award litigation costs of Rs. 50,000;
- d. Pass such further orders as this Hon'ble Commission deems fit.

VERIFICATION

I, the Complainant above named, verify that the contents of paragraphs 1 to 21 above are true to my

knowledge.

Verified at Pune on this the 5th day of August, 2025.

Complainant

(Sunita Deshpande)

Ms. Priya Kulkarni, Advocate for the Complainant

Enrolment No. MAH/3897/2016

ANNEXURES TO THE COMPLAINT

Annexure	Description
A-1	Insurance Proposal Form dated 12.04.2022
A-2	Policy Schedule and Policy Wording
A-3	Premium Payment Receipts (3 years)
A-4	Death Certificate and Claim Intimation
A-5	Repudiation Letter dated 10.06.2025
A-6	Investigator's Report
A-7	Medical Records of the Life Assured

ANNEXURE A-1 -- INSURANCE PROPOSAL FORM

Proposal Date: 12.04.2022
Plan: Sanchay Suraksha Endowment and Money Back Plan
Proposer/Life to be Assured: Mahesh Deshpande
Sum Assured Proposed: Rs. 12,00,000
Premium Mode: Annual
Nominee: Sunita Deshpande (wife)

MEDICAL HISTORY DECLARATION

Q1. Do you suffer from diabetes? Ans: No.

Q2. Do you suffer from hypertension? Ans: [left blank — not answered]

Q3. Do you suffer from any cardiac ailment? Ans: No.

I declare that the statements made above are true and form the basis of the contract of insurance.

Signature of Proposer:

Date: 12.04.2022

ANNEXURE A-2 -- POLICY SCHEDULE (KEY EXTRACT)

Policy No.:	SLIC-4471-208833
Plan:	Sanchay Suraksha Endowment and Money Back Plan
Sum Assured:	Rs. 12,00,000
Policy Term:	20 years
Annual Premium:	Rs. 48,500 (Annual)
Date of Commencement:	28.04.2022
Life Assured:	Mahesh Deshpande
Nominee:	Sunita Deshpande (wife)

The complete Policy Schedule and Policy Wording, comprising the definitions, benefits payable, exclusions, premium payment terms, surrender and paid-up value provisions, claim procedure and grievance redressal clauses running to 100 pages, is annexed separately and filed herewith as Annexure A-2 (filed as Document M04-D04 in the record).

ANNEXURE A-3 -- PREMIUM RECEIPT, YEAR 1

PREMIUM RECEIPT — YEAR 1

Receipt No.:	PRM/SLIC-4471-208833/Y1
Date:	28.04.2022
Amount:	Rs. 48,500
Policy No.:	SLIC-4471-208833
Mode:	Annual

ANNEXURE A-3 -- PREMIUM RECEIPT, YEAR 2

PREMIUM RECEIPT — YEAR 2

Receipt No.:	PRM/SLIC-4471-208833/Y2
Date:	28.04.2023
Amount:	Rs. 48,500
Policy No.:	SLIC-4471-208833
Mode:	Annual

ANNEXURE A-3 -- PREMIUM RECEIPT, YEAR 3

PREMIUM RECEIPT — YEAR 3

Receipt No.:	PRM/SLIC-4471-208833/Y3
Date:	28.04.2024
Amount:	Rs. 48,500
Policy No.:	SLIC-4471-208833
Mode:	Annual

ANNEXURE A-4 -- DEATH CERTIFICATE & CLAIM INTIMATION

Policy No.: SLIC-4471-208833
Claim No.: CLM/SLI/2025/08841
Date of Death: 14.02.2025
Cause of Death: Cardiac arrest
Place of Death: Sassoon General Hospital, Pune
Intimated By: Sunita Deshpande (Nominee)
Intimation Date: 22.02.2025

I hereby intimate the death of the Life Assured and submit the death certificate and requisite documents for processing of the claim.

Documents enclosed: Original Death Certificate issued by the Pune Municipal Corporation; Claim Form A duly filled and signed; photocopy of the Policy Bond; photo identity proof of the nominee.

ANNEXURE A-5 -- REPUDIATION LETTER

Ref. No.: REP/CLM/SLI/2025/08841

Date: 10.06.2025

To,

Sunita Deshpande

Flat 302, Sahyadri Apartments, Kothrud, Pune - 411038

Subject: Repudiation of Death Claim under Policy No. SLIC-4471-208833

Dear Madam,

We refer to the death claim intimated by you under the above Policy.

Our investigation has revealed that the Life Assured was diagnosed with hypertension on 14.02.2021, prior to the date of the proposal, which fact was not disclosed in the Proposal Form.

In view of the above material non-disclosure, which forms the basis of the contract of insurance, we regret to inform you that the claim stands repudiated under the terms and conditions of the Policy.

You may approach the Insurance Ombudsman or the appropriate Consumer Forum if you are aggrieved by this decision.

For Sanchay Life Insurance Company Limited
(Authorised Signatory, Claims Department)

ANNEXURE A-6 -- INVESTIGATOR'S REPORT

Claim No.: CLM/SLI/2025/08841
Investigator: M/s Veritas Claims Investigators, Pune
Field Investigator: Rakesh Pawar
Date Appointed: 03.03.2025
Date of Report: 18.04.2025
Treating Physician's Note Date: 24.02.2021

1. SCOPE OF INVESTIGATION

The undersigned was appointed by the Opposite Party on 03.03.2025 to verify the circumstances of the death claim intimated under Policy No. SLIC-4471-208833 and, in particular, to ascertain whether the Life Assured had any pre-existing medical condition not disclosed at the time of the proposal.

2. FAMILY INTERVIEW

The Complainant was interviewed at her residence on 10.03.2025. She stated that her late husband had no known history of hypertension and was not on any regular medication. No prescription or medicine strip suggesting anti-hypertensive treatment was found at the residence during the visit.

3. HOSPITAL RECORDS REVIEW

The undersigned visited Sassoon General Hospital, Pune on 17.03.2025 and was shown a handwritten note attributed to the treating physician recording a diagnosis of hypertension dated 24.02.2021. The hospital's OPD register itself was not made available for cross-verification against the said note at the time of this visit.

4. FINDINGS AND RECOMMENDATION

The Proposal Form's medical history field for hypertension was found to be left unanswered by the proposer, which is treated as concealment of a material fact for the purpose of this report. Read with the physician's note referred to above, it is recommended that the claim be repudiated on grounds of non-disclosure.

For M/s Veritas Claims Investigators, Pune
(Rakesh Pawar, Field Investigator)

ANNEXURE A-7 -- MEDICAL RECORDS OF THE LIFE ASSURED (KEY EXTRACTS)

RECORD 1 — Death Summary, Sassoon General Hospital

Date: 14.02.2025

Patient: Mahesh Deshpande

Records sudden cardiac arrest as the cause of death on admission to the casualty department; the admission history recorded from the family does not note any antecedent history of hypertension or related medication.

RECORD 5 — Sassoon General Hospital -- Reply to Query of Complainant's Advocate

Date: 15.07.2025

Patient: Mahesh Deshpande

States in terms that the hospital's OPD register does not show any entry for the Life Assured on 14.02.2021 or on 24.02.2021, the two dates respectively relied upon in the Repudiation Letter and the Investigator's Report.

(Complete set of 5 medical records filed separately as Document M04-D18.)